

Integration of IFRS 16 in Air Transport: A Comparative Study of Air France / Lufthansa

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I — Choice of Sector and Groups

Air transport plays a crucial role in the economy and has done so for many decades. This sector is nonetheless not spared from economic and geopolitical developments. Among the financial characteristics of this sector is the significant use of lease agreements for fleet financing, enabling companies to adapt their managerial strategy. This makes it a relevant case study for analyzing the impacts of IFRS 16 "Leases". Furthermore, this sector is by nature capital-intensive, which makes it an interesting point of focus regarding the impact of this new standard introduced in 2019.

Air France-KLM and Lufthansa Group are among the most historic airline groups in Europe. The two entities appear comparable in several respects: their multi-brand structures with several subsidiaries, their similar geographical footprint, and so on. However, they retain notable differences: Lufthansa has historically tended to own a larger share of its fleet than certain other airlines, while Air France has often resorted to leasing in order to preserve greater flexibility.

Studying these two entities allows us to analyze how IFRS 16 has transformed the financial presentation of two groups with traditionally different financing policies. On one side, Lufthansa Group with an ownership-focused strategy, and on the other, Air France-KLM, whose fleet relies on lease agreements for close to half of its aircraft.

II — Accounting Issues Specific to the Sector

Previously, IAS 17 implied a duality in the recognition of lease agreements known as "finance" leases. Indeed, since these were considered a financing method, they affected both the balance sheet and the income statement, while operating leases were only visible as an operating expense.

To address this imbalance, IFRS 16 became mandatory from January 2019. The airline sector proved to be one of the most affected by this regulatory change.

Under IAS 17, airlines traditionally favored "operating" lease agreements to finance their fleets. This allowed them to keep a significant portion of their debt "off-balance sheet". In order to allow greater transparency, IFRS 16 requires both types of lease agreements to be recognized on the balance sheet, with a right-of-use asset on one side and a lease liability on the other. This new method of accounting for lease agreements nonetheless implies that under IFRS 16 there is no longer a distinction between the two possible natures of these contracts. For groups such as Air France-KLM or Lufthansa, this results in potentially significant sums appearing on the balance sheet, with lease liabilities on one side and right-of-use assets on the other.

Furthermore, IFRS 16 does not only impact the balance sheet but also certain elements of the income statement and key performance indicators.

Operating lease payments disappear in favor of depreciation charges and interest expenses. As a result, EBITDA mechanically increases, giving a misleading impression of better performance than before. Likewise, the leverage ratio, calculated as net debt divided by EBITDA, is also redefined. Sometimes serving as a covenant in relation to creditors, changes in this type of ratio can have a major impact. Similarly, operating cash flows increase while financing cash flows decrease.

Flexibility, particularly during periods of crisis, can be a major asset for an airline. Leasing therefore represents a central element in the strategy operated by airlines. So, what are the actual consequences of this standard?

III — Expected Consequences of These Issues on Financial Statements

First of all, the adoption of IFRS 16 has led to the recognition of a right-of-use asset and a lease liability. This change has caused a massive expansion of balance sheets. Leases previously classified as operating leases and kept off-balance sheet under IAS 17 are now recognized and will considerably weigh down balance sheets.

Going forward, an airline's choice to use one type of lease agreement or another should be significantly less influenced by the applicable accounting standard, due to the elimination of the distinction in accounting treatment between the two. The standardization of treatment means that companies can no longer favor operating leases solely to avoid burdening the balance sheet, as was the case under IAS 17. Operating leasing nonetheless continues to allow an airline to retain greater flexibility.

Furthermore, IFRS 16 has also reduced the appeal of sale-and-leaseback transactions, which previously allowed airlines to generate liquidity while continuing to use their aircraft. Now, under IFRS 16, this practice is less advantageous because only the portion of the gain corresponding to the rights transferred to the lessor can be recognized, with the remainder of the transaction being treated under IFRS 15.

IV — Analysis of Financial Communication

Based on Air France-KLM's 2025 Reporting Documents, we can establish that approximately 51% of its fleet is under operating lease agreements and approximately 15% under finance leases. The distinction made by the group reflects a critical importance in the way it interprets the relevant standard. The Air France-KLM group has indeed managed, in a certain way, to “bypass” IFRS 16. In its 2025 annual document, the company states:

“Assets (aeronautical and buildings) which are not eligible for an accounting treatment according to IFRS 16 are those:

- which were acquired by the airline or for which the airline took a major share in the acquisition process from the OEMs (Original Equipment Manufacturers);*
- and which, in view of the contractual conditions, will almost certainly be purchased at the end of the lease term.*

Since these financing arrangements are “in substance purchases” and not leases, the related liability is considered as a financial liability under IFRS 9 and the asset, as property, plant and equipment, according to IAS 16.”

This accounting classification offers Air France several strategic and financial advantages, particularly in the presentation of its performance to investors. In this way, the group recognizes right-of-use assets only for its operating lease agreements, while the remainder is directly recorded as aeronautical property, plant and equipment. This also explains the imbalance between the percentage of the fleet under lease agreements and the value of right-of-use assets on the balance sheet. On the liability side, this means that the lease debt is lower since a large portion is therefore considered financial liabilities.

Given that a lease can generate higher debt during the first years of the contract, this likely allows the French group to report a better net debt/EBITDA ratio.

The Adjusted Free Cash-Flow is defined as the net cash flow after payment of lease liabilities. By reclassifying the contract as a purchase in substance, the capital repayment is treated as a conventional financing flow and is therefore not deducted from the indicator; only the financial charges are.

In its documents, the company presents "lease liabilities with an advantageous purchase option" (Note 31), which account for approximately 11% of the consolidated balance sheet.

However, this strategy obliges Air France to exercise its purchase option at the end of the lease, thereby losing flexibility. The group can nonetheless afford to do so since the majority of its fleet remains accounted for under IFRS 16.

Lufthansa Group stands out through a strategy of majority fleet ownership, with 86% of aircraft owned and only 14% under lease agreements (compared to 51% for Air France-KLM). The weight of lease agreements for the "Aircraft and Engines" component amounts to €1,866m (compared to €1,266m a year earlier), which remains marginal in its balance sheet. This strategy allows the German group, for example, to optimize maintenance or to have greater flexibility in the customization of its aircraft.

As a result, the impact of IFRS 16 remains limited on the German group's balance sheet, which strictly applies IFRS 16 to its lease agreements without reclassifying certain leases as Air France-KLM does. Indeed, this limited impact does not create the need to implement financial arrangements in order to account for contracts outside the scope of the standard.

Lufthansa, by financing its aircraft through bank debt or bonds, can benefit from lower interest rates than those of conventional leasing agreements. In addition, owned aircraft can be used as collateral to raise funds or sold, when necessary, without contract termination penalties.

Lufthansa Group therefore demonstrates greater clarity and transparency in its financial communication, since the group strictly applies IFRS 16. Air France-KLM, despite indicating its financial arrangement, remains relatively tight-lipped about its strategy. The impact of this standard on the German group is therefore visible but limited, since it primarily relies on full ownership rather than lease agreements.

V — Conclusion

The adoption of IFRS 16 has marked a turning point for the airline sector, not only by modifying accounting rules but also by revealing the deep strategic divergences between

airlines. This standard enables a better appreciation of the trade-offs made by sector players between flexibility and full ownership.

However, the reclassification strategies implemented by certain airlines, such as the example of Air France-KLM that we have studied, mitigate the unwanted accounting effects but obscure clarity in financial communication. It is complex to directly compare the financial indicators and ratios of Air France-KLM and Lufthansa Group.

IFRS 16 has therefore not only modified the presentation of financial statements but has also influenced the strategies of certain airlines.

The two examples studied show us two radically different approaches. Lufthansa adopts a more conservative strategy, being primarily in full ownership of its aircraft, thereby controlling costs and risks at the expense of significant flexibility. Air France-KLM, for its part, has adopted a more flexible strategy with a roughly equal split between owned aircraft and those under lease agreements. These strategic divergences thus lead to accounting divergences. Lufthansa Group, remaining relatively unaffected by the entry into force of this standard, has not needed to implement financial arrangements as Air France-KLM does in order to limit the unwanted effects of IFRS 16.

Ultimately, IFRS 16 has played the role of a catalyst, highlighting the divergences but also the inherent strengths and weaknesses of airlines' strategies. It has also highlighted the importance of the trade-off between operational flexibility and asset ownership. It will be interesting to observe how these strategies evolve in the face of the challenges that air transport will encounter, such as the energy transition or geopolitical instability.